

# THE WALL STREET JOURNAL.

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## What's News

### Business & Finance

- ◆ **U.S. economic growth** slowed to 1.5% in the second quarter, weighed down by strong imports to fuel the artificial-intelligence boom. **A1**
- ◆ **A massive rally in** Microsoft shares added fuel to a rebound in major U.S. stock indexes which saw the S&P 500, Nasdaq and Dow advance 1.7%, 2.8% and 1.2%, respectively. Yields on longer-term Treasuries held near their highest levels in 19 years. **B1**
- ◆ **Situational Awareness**, the once highflying AI-focused hedge fund, sold the bulk of its stock portfolio to Ken Griffin's investment firm Citadel after suffering deep losses. **A1**
- ◆ **FIFA, soccer's world** governing body, unveiled a plan to spin off the commercial rights of its most popular competitions into a private company and sell a roughly 20% stake to investors. **A1**
- ◆ **Adidas shares fell** more than 11% after the sportswear company's earnings were squeezed by heavy marketing spending on the FIFA World Cup. **B3**
- ◆ **Anthropic said** that software it was testing got onto the internet and hacked unsuspecting companies without the AI-maker's knowledge in three separate incidents dating back to April. **B1**
- ◆ **Tesla executives** have been told to prepare for a separation of the company's China business ahead of a potential merger, with advisers discussing options to make the break. **B1**
- ◆ **Shell said it ran** its refineries at 102% of capacity during the second quarter, eking out more jet fuel and diesel to take advantage of soaring prices. **B2**

### Worldwide

- ◆ **Trump signaled** he had no plans to negotiate with holdout Republicans blocking Todd Blanche's confirmation as attorney general, threatening to pause the nomination rather than work out an agreement with Sens. John Cornyn and Thom Tillis. **A1**
- ◆ **Hamas and other** Palestinian militant groups agreed to a Gaza process under which the U.S. says they would disarm and lose power as long as Israel withdraws from the enclave. **A1**
- ◆ **The Trump administration** is considering a \$100,000 fee for international students who want to work in the U.S. after they graduate from an American university. **A3**
- ◆ **Mortgage rates jumped** to their highest level in a year, dealing another blow to a long-stalled housing market that shows little sign of recovering. **A2**
- ◆ **A man who gave** his son the gun he used to kill two students and two teachers at Apalachee High School in Georgia was sentenced to 15 years in prison. **A3**
- ◆ **At least 10 people** died as thousands of migrants poured into the Spanish territory of Ceuta from neighboring Morocco. **A7**
- ◆ **Turkish police** detained a former television actor-turned-mayor in the latest wave of arrests targeting the political opposition. **A9**
- ◆ **Wildfires sweeping** through pine forests west of Bordeaux forced the closure of some of France's most strategically important defense and aerospace sites. **A7**

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## U.S. Economic Growth Slows

GDP expands 1.5%, below expectations, even as consumer spending increases

By HARRIET TORRY

U.S. economic growth slowed in the second quarter, weighed down by strong imports to fuel the artificial-intelligence boom.

The AI surge has become such a huge part of the economy that it's a big growth driver and also affects trade in a way that can offset some of that growth. Specifically, high demand for imported components like semiconductors weighs against the U.S. growth calculation because the products aren't made in the U.S.

At the same time, Thursday's gross domestic product

report included positive signs on other fronts. Consumers increased their spending, shrugging off a surge in gas prices fueled by the conflict with Iran. Business investment remained strong as companies kept investing in IT equipment and software for the AI build-out.

The Commerce Department said GDP—the value of all goods and services produced across the economy, adjusted

for inflation and seasonal changes—rose at a 1.5% annual rate in the second quarter.

Economists surveyed by The Wall Street Journal had expected GDP growth of 1.8% for the April to June period. The economy grew at a 2.1% pace in the first quarter.

Economists said the headline number clouded the largely positive trends. Solid spending by companies and

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## Massive Strikes Highlight Ukraine Defense Gap



**DEADLY BARRAGE:** A series of Russian missile and drone strikes against Ukraine on Thursday killed at least eight people and wounded more than 50, Ukrainian authorities said. A child injured in an attack on a building in Lviv is taken away by stretcher. **A7**

## Trump Threatens to Pull Blanche Pick

WASHINGTON—President Trump signaled he didn't want to negotiate with holdout Republicans blocking the

By Richard Rubin, Sadie Gurman and Maya Davis

confirmation of attorney general pick Todd Blanche, threatening to pause the nomination rather than work out a deal with two senators whose

careers he effectively ended. Sens. John Cornyn (R., Texas) and Thom Tillis (R., N.C.) are opposing Blanche's nomination in the Judiciary Committee, keeping it from advancing to a vote on the Senate floor.

They say they won't relent unless the administration formally kills off a \$1.8 billion "anti-weaponization fund" and narrows the government's tax audit protections for the

president, his family and his businesses.

In a social-media post Thursday, Trump said he had "no objection to temporarily withdrawing" Blanche's nomination if the holdout senators "do not do the right thing."

He said he could renominate Blanche after Cornyn and Tillis are out of office at the start of 2027.

The president didn't mention the fund or the audit pro-

tection. Instead, he noted he hadn't endorsed Cornyn or Tillis for re-election, tying those political disputes to their reluctance to vote for his nominee.

Trump took no immediate action, leaving Blanche's confirmation in limbo.

Cornyn told reporters the senators and the administration had exchanged offers and believed they were making

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## Accord Spurs Hope Of Hamas Disarming

Hamas and other Palestinian militant groups agreed to a plan that, if followed, would see the groups disarm and lose power in the Gaza Strip as long as Israel withdraws from the enclave, U.S. officials said.

By Alexander Ward, Summer Said, Philip Wegmann and Abeer Ayyoub

The officials, speaking to reporters Thursday evening, said the agreement is the start of an indefinite, multiphase process to end Hamas's rule in Gaza and rebuild the enclave. The officials acknowledged many challenges ahead, such

as verifying the Palestinian groups' compliance and ensuring that a skeptical Israeli government doesn't scuttle any progress.

The announcement is the culmination of months of diplomacy between the U.S., Israel, Hamas and Middle East mediators, as well as the Board of Peace created by President Trump to oversee Gaza's transition. But it is only the first step in a pathway laden with political and mili-

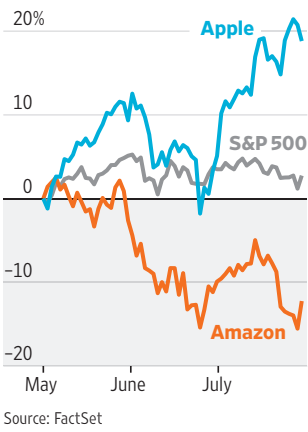
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- ◆ **Iran conflict strains** ties between U.S., Kuwait..... **A8**
- ◆ **Commander poised** for war's next push..... **A8**

## Sales at Apple, Amazon Rise

Apple's iPhone sales grew 21% for the quarter, and Amazon revenue got an AI boost. **B1**

Share-price and index performance, past three months



Source: FactSet

## Rights Spinoff Plan Roils Global Soccer

By JOSHUA ROBINSON AND GINA HEEB

This summer's North American World Cup, a month-long extravaganza that smashed records for viewership, attendance and revenue, seemed like the culmination of soccer's long campaign to tap in to the abundant wealth of the U.S.

In fact, soccer's world governing body was just getting started.

On Tuesday, FIFA, a Swiss nonprofit, unveiled a plan to spin off the commercial rights of its most popular competitions into a private company and sell off a roughly 20% stake to investors that valued

the venture at \$20 billion. But on Thursday, a furious backlash led European countries to announce a boycott of all FIFA competitions, including the World Cup, after an emergency meeting of European soccer's governing body.

"This model has no place in world football," UEFA said after the meeting. "Football's future cannot be dictated by the expectations of those whose first duty is to maximize financial return....As a result of today's discussion, no UEFA national teams will participate in any FIFA competition for so long as these proposals remain alive."

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## These Drivers Go to Extremes In Search of Low-Tech Bliss

Car owners disable alerts and make buttons out of tape; 'I just want to turn a knob.'

By SHARON TERLEP

Brett Doyle maintains a meticulous spreadsheet of the latest automotive tech—electronic door handles, massive touch screens, cruise control that automatically goes with the flow of traffic.

It isn't detailing his dream car. It's his worst nightmare. "I don't want any of that," said the computer scientist living in St. Louis, who sees

the technology as a pile of problems waiting to happen.

Doyle is part of a vocal minority fighting the auto industry's obsession with packing new technology into cars. Call them curmudgeonly roadblocks to progress, or the last beacons of sanity on the road. Either way, they're pushing back.

Some, like Doyle, are rejecting new cars altogether, opting for older models. *Please turn to page A10*

## A Mission to the Ocean Floor Aims To Recover World War II POWs

Divers search the collapsed wreckage of the Oryoku Maru for remains of hundreds of Americans after eight decades

By MIKE CHERNEY

SUBIC BAY, Philippines—Petty Officer First Class Taylor Lucas was nearly 80 feet underwater, inside the wreckage of a Japanese liner used to transport captured American soldiers and sailors in World War II.

In the darkness, the U.S. Navy diver dug through mud, wood and steel. There was so much sediment floating around that a flashlight was no use. Suddenly, he touched something that felt different.

"I got that feeling of like, 'Oh, maybe this is something important,'" Lucas said.

In his hand, he had the remains of a boot, sole and leather still attached.

The shoe, later found to have "U.S. Army" written on the sole, was one of the strongest signs yet that Defense Department researchers are closing in on a goal that has escaped them for more than eight decades: bringing home the remains of about 250 American prisoners of war who died in December 1944

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